

Premium Only Plan (POP) - Service Agreement



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Parent Company Code	Processing Region	Salesperson Name	DM Code	County
H1J	0056	Kylie French	318438	Monroe

This SERVICE AGREEMENT (the "Agreement") dated 10/5/2020, between Johnstone Supply with offices at 95 Halstead St, Rochester NY 14610 ("Client") and ADP, LLC ("ADP") with its principal offices located at One ADP Boulevard, Roseland, New Jersey 07068, sets forth an agreement between Client and ADP by which ADP will provide administrative services (the "Services") as described herein to Client in connection with Client's sponsorship of a premium only plan under Section 125 of the Internal Revenue Code of 1986, as amended (the "Code") in the form of the ADP Premium Only Plan (the "Plan"). Any Service that ADP agrees to provide with respect to the Plan, whether or not specifically described herein, is subject to the terms of this Agreement. Client and ADP agree as follows:

I. Services and Fees/Bank Information

For an initial fee of \$ waived off and an annual administrative services fee of \$ 450, ADP will provide the services described in the attached Description of Services to assist the Client in establishing and maintaining the Client's Plan in Client's capacity as sponsor of said Plan.

BANK INFORMATION (For Billing and Collection of ADP Service Fees)

DIRECT DEBIT ACCOUNT AUTHORIZATION (Required by Bank)

We will debit the CURRENT ADP PAYROLL BANK ACCOUNT on file. (same account as tax services; Client Account Agreement completed for those services will apply)

If you do not wish to ACH debit the same bank account as ADP Payroll (tax services) for payment of service fees payable under this Agreement, OR you wish to send a check, please notify your Implementation Specialist.

II. Adherence to Procedures

Client agrees that ADP will provide the Services in accordance with procedures established by ADP, which ADP may modify at any time. ADP will provide a copy of these procedures to Client, who will use the Services in accordance with the procedures. To the extent that the procedures require action to be taken by Client, Client agrees that Client will timely act as required in accordance with the procedure(s) in question.

III. Client Obligations

Client (and not ADP) shall be responsible for (i) compliance with all laws and governmental regulations affecting Client's business; (ii) any use Client may make of the Services to assist it in complying with any laws and governmental regulations; and (iii) the tax-compliant status of the Plan under Code Section 125 or for payment of any federal, state or other taxes or penalties which may be charged against the Plan, highly compensated participants or key employees (as defined under the Code) participating in the Plan, or other parties to the Plan (including but not limited to, all federal, state or other taxes or penalties which may be charged against the Plan or other parties to the Plan and as indicated in other materials supplied to Client by ADP). In elaboration of the foregoing, Client's responsibilities include, but are not limited to:

a. Implementing Participant Elections

- Distributing and collecting all enrollment materials on a timely basis.
- Enrolling newly-eligible employees in the Plan and in benefits funded through the Plan.
- Notifying ADP of any new or terminated participants for whom Plan-related payroll deductions will be established or terminated by the Client.
- Determining the appropriateness of any eligible employee's request for a mid-year election change.
- Implementing participant-level payroll deductions to reflect participant elections.

b. Records and Notices

- Retaining copies of required Plan information for inspection by employees, and for Plan audit, including annual reports, Plan documents and copies of insurance policies.
- Copying and distributing required notices and Plan information.
- Retaining copies of employee enrollment forms.
- Notifying employees of provisions of underlying benefit arrangements funded through the Plan, including but not necessarily limited to deductibles, premium costs and co-payments.

c. Filings

- Filing all reports required by governmental authorities.

d. Premium Payments

- Collecting and transmitting premium payments for all insured benefits funded through the Plan.

e. **Employee Coding (where applicable)**

- Coding and updating employee payroll data where required by ADP to perform the services set forth in Section I of this Agreement, as described in the Procedures document provided to Client.

f. **Compliance Testing**

- Determining whether Client is a member of a controlled group under Internal Revenue Code Sections 414(b) and 414(c) or member of an affiliated service group under Section 414(m) and notifying ADP of same.
- Conducting such compliance testing for the Plan as may be required by law. (Note that any compliance testing conducted by ADP under the terms of this Agreement is advisory only, and that the accuracy of any such testing depends on Client's ability to provide accurate, complete and timely data.)
- Making any necessary adjustments so that the Plan is in compliance with the requirements of Code Section 125 and regulations thereunder.

IN NO EVENT SHALL THE CLIENT RELY SOLELY ON ITS USE OF THE SERVICES PROVIDED BY ADP IN COMPLYING WITH ANY LAWS OR GOVERNMENTAL REGULATIONS.

IV. Fee and Payment Terms

Client acknowledges that ADP's fee schedule as set forth in Section I above is periodically revised. Client will receive written notice of any changes at least sixty (60) days before the changes become effective. ADP will provide Client with an annual bill in advance for the Services of this Agreement. **These fees shall not be refundable in the event the Plan terminates or the Client terminates this Agreement during the year.** All invoices shall be paid by the Client within ten (10) days after receipt. If the Client fails to pay any amount due under this Agreement, the Client shall pay interest at 1-1/2% per month (but not to exceed the maximum amount allowed by law) on such delinquent amount from the due date thereof until the date of payment. Client agrees to reimburse ADP for any and all expenses ADP may incur, including but not limited to interest and reasonable attorney fees, in taking action to collect any amounts due ADP hereunder.

V. Disclaimer of Warranties

EXCEPT AS EXPRESSLY SET FORTH HEREIN, ADP EXPRESSLY DISCLAIMS ANY WARRANTY, EITHER EXPRESS OR IMPLIED, INCLUDING ANY IMPLIED WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE, NON-INFRINGEMENT, NON-INTERRUPTION OF USE, AND FREEDOM FROM PROGRAM ERRORS WITH RESPECT TO THE SERVICES, THE ADP PRODUCTS, ANY CUSTOM PROGRAMS CREATED BY ADP OR ANY THIRD-PARTY SOFTWARE DELIVERED BY ADP.

VI. Ownership of Proprietary Rights

Any documents, forms, and related documentation made available, directly or indirectly, by ADP to Client as part of the Services (the "ADP Products") are the exclusive and confidential property of ADP or the third parties from whom ADP has secured the right to use such ADP Product. All rights, title and interest in or any copyright, trademark, service mark, trade secret, and other proprietary right relating to the ADP Products and the related logos, product names, etc. are reserved. The use of any software included in, or supplied by ADP for use with, the ADP Products shall be governed by the license agreement (whether written, shrink-wrapped or on-line) delivered with such software.

VII. Protection of Client Files

ADP will take reasonable precautions to prevent loss of or alteration to Client files in its possession. ADP is not Client's record-keeper; Client will, to the extent it deems necessary, keep copies of all source documents of information delivered to ADP.

VIII. Nondisclosure

All Confidential Information disclosed hereunder will remain the exclusive and confidential property of the disclosing party. Notwithstanding the foregoing, the receiving party may disclose Confidential Information to the extent necessary to comply with any law, rule, regulation or ruling applicable to it and to the extent necessary to enforce its rights under this Agreement. Upon the request of the disclosing party, the receiving party will return or destroy all Confidential Information of the disclosing party that is in its possession. Client agrees that ADP may use Client's and Client's employees' and participants' information for purposes other than performance of the Services but only in an aggregated, anonymized form, such that neither Client nor Client's employees or participants may be identified, and Client will have no ownership interest in such aggregated, anonymized data. For purposes of this Section, "Confidential Information" shall mean: all information of a confidential or proprietary nature provided by the disclosing party to the receiving party for use in connection with the Services, but does not include (i) information that is already known by the receiving party, (ii) information that becomes generally available to the public other than as a result of disclosure by the receiving party in violation of this Agreement, and (iii) information that becomes known to the receiving party from a source other than the disclosing party on a non-confidential basis. Confidential Information of ADP also includes all ADP trade secrets, processes, proprietary data, information or documentation related thereto, or any pricing or product information furnished to Client by ADP.

IX. Indemnification

Client shall indemnify and hold harmless ADP and its employees, agents, and/or subcontractors from and against any loss, damage, liability, claim, cost, and expense, including reasonable legal fees, which it incurs by reason of this Agreement unless resulting from the gross negligence or willful misconduct of ADP or its employees, agents, or subcontractors.

X. Limitation of Liability

This Section X sets forth the full extent of ADP's liability for damages resulting from this Agreement or the Services rendered or to be rendered hereunder, regardless of the form in which such liability or claim for damages may be asserted, and sets forth the full extent of Client's remedies. ADP and Client acknowledge that the fees charged by ADP for the Services (including any additional services to which ADP and Client may subsequently agree) to be provided hereunder reflect the allocation of risk set forth in this Section X.

- a. Responsibilities of Client. Client will be responsible for (i) the consequences of any instructions Client may give to ADP; (ii) Client's failure to use the Services in the manner prescribed by ADP; and (iii) Client's failure to supply accurate information to ADP.
- b. Errors and Omissions. ADP's sole liability to Client or any third party for claims of any type or character arising from errors or omissions in the Services that are caused by ADP shall be to address and resolve the Client's complaint with respect to the alleged errors or omissions.
- c. Force Majeure. Any party hereto will be excused from performance under this Agreement for any period of time that the party is prevented from performing its obligations hereunder as a result of an act of God, war, earthquake, civil disobedience, court order, labor dispute, or other cause beyond the party's reasonable control.
- d. Limit on Monetary Damages. ADP shall not have any monetary liability under this Agreement for any damages resulting from claims made by Client or any third party arising from or related to any and all causes covered by subsections X(a)-(c) and X(e). ADP's sole liability under this Agreement for damages (monetary or otherwise, including legal fees) resulting from claims made by Client or any third party arising from or related to any and all causes not covered by subsections X(a)-(c) and X(e) shall be limited in each instance to the lesser of either (i) the amount of actual damages incurred by Client, or (ii) the amount which will not exceed the administrative fee charged by ADP for the Services for the one year period during which the damage or injury is alleged to have occurred. The foregoing limitation shall not apply to actual damages incurred by Client as a direct result of the criminal or fraudulent acts of ADP or any of its employees.
- e. No Consequential Damages. ADP SHALL NOT BE LIABLE FOR SPECIAL, INDIRECT, INCIDENTAL OR CONSEQUENTIAL DAMAGES (INCLUDING LOST PROFITS) WHICH CLIENT OR ANY THIRD PARTY MAY INCUR OR EXPERIENCE ON ACCOUNT OF ENTERING INTO OR RELYING ON THIS AGREEMENT OR THE SERVICES, EVEN IF ADP HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

XI. Duration

This Agreement will be effective from the date of Client's signature below and will continue until the date as of which this Agreement is terminated. Either Client or ADP may terminate this Agreement upon 30 days written notice to the other; notice provided to ADP by Client shall be sent via certified mail, return receipt requested or a similar method that provides Client with a receipt demonstrating that notice was received by ADP. Client and ADP acknowledge and agree that continuing obligations under this Agreement, including but not limited to those obligations relating to indemnification and confidentiality, shall survive the termination of this Agreement.

XII. Restriction on Use

Client agrees that Client may use the Services, including but not limited to the documents provided by ADP, only during the time that this Agreement is in effect.

XIII. Inducement; Amendment of Agreement

Client acknowledges that it has not been induced to enter into this Agreement by any representation or warranty not set forth in this Agreement. This Agreement constitutes the entire agreement between the parties and supersedes all prior writings or agreements with respect to its subject matter. This Agreement may be modified by ADP on 60 days notice; provided that this Section shall not be in derogation of ADP's right to amend the procedures provided to Client at any time, in accordance with Section II of this Agreement.

XIV. Plan Amendments

Client acknowledges that its authority to amend the terms of the Plan shall be limited to amending that portion of the Plan which sets forth the terms of the Plan that are unique to Client, including, but not limited to, eligibility, benefits funded through the Plan (which shall be limited to the benefits permitted by ADP) and the Plan Year. Client agrees that Client will provide notification of any such amendment to ADP before such amendment becomes effective. Client acknowledges that ADP shall be under no obligation to provide administrative support under the terms of this Agreement to Client in connection with any amendment to the Plan by Client which is beyond the Client's amendment authority as set forth herein.

XV. Assignment

This Agreement shall not be assigned by Client without the prior written consent of ADP. ADP may designate any agent or subcontractor, without notice to, or the consent of Client, the obligation to perform such tasks and functions to complete any Services.

XVI. Severability

In case any provision of this Agreement (or any portion thereof) is held to be or becomes invalid, illegal or unenforceable in certain circumstances, the validity, legality or enforceability of the remaining provisions of this Agreement, or of such provision in other circumstances, shall not in any way be affected or impaired thereby.

XVII. Third Party Beneficiaries

No employee, agent or other person associated with Client is intended to be a third party beneficiary under the terms of this Agreement.

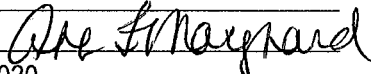
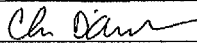
XVIII. Governing Law

This Agreement shall be governed by New Jersey Law without regard to its conflicts of law provisions.

XIX. Form and Method of Execution

Each party agrees that the other may execute this Agreement by facsimile and that any such execution by facsimile will be deemed an original for evidentiary purposes in any proceeding arising under or pursuant to this Agreement. Each party further agrees that this Agreement may be executed and countersigned in counterparts.

Client agrees to the terms above, acknowledges that it has reviewed the attached Description of Services and has provided such other information as requested by ADP pertaining to the establishment and operation of the Plan.

ADP, LLC	
Name: <u>Ann Maynard</u>	Name: <u>Chris D'Ambrosio</u>
Title: <u>HR Business Consultant</u>	Title: <u>Senior VP/GM</u>
Signature: <u></u>	Signature: <u></u>
Date: <u>10/5/2020</u>	Date: _____

THIS AGREEMENT MUST BE SIGNED BY THE V.P., PREMIUM ONLY PLANS OR ANOTHER AUTHORIZED REPRESENTATIVE OF ADP. ADP'S SALES PERSONNEL DO NOT HAVE THE AUTHORITY TO LEGALLY BIND ADP.

PREMIUM ONLY PLAN (POP) SERVICE AGREEMENT DESCRIPTION OF SERVICES

For the initial fee and annual administrative fee set forth in Section I of this Premium Only Plan Service Agreement, ADP will provide Services to assist the Client in establishing and maintaining Client's Plan as follows: If Client is an ADP Payroll client, Client will receive Services applicable to ADP Payroll Clients as specified below but subject to the last sentence of this paragraph hereof. If Client is not an ADP Payroll client at the time the ADP POP is established or ceases to be an ADP Payroll client at any time thereafter, the Services provided to the Plan will be, as of the effective date of the payroll change, only those Services provided by ADP to Standalone Payroll Clients. Only ADP Payroll Clients listed in the Client Training and Procedure Document receive compliance testing services and clients that have migrated from the Easy Pay to the Run ADP Payroll product will receive compliance testing services not earlier than the first day of the plan year beginning after January 1, 2014 or such other later date that is administratively feasible.

a. Plan Establishment

- Plan document (including Plan Highlights reflecting specific Plan terms elected by Client).
- Forms of Resolution and Record of Adoption for Client's use in adopting the Plan.
- *[ADP Payroll Client Only]* Plan-level setup with ADP Payroll to enable Client to enter participant-level payroll deductions and compliance coding.

b. Employee Orientation and Enrollment Support

- Initial Enrollment - ADP will provide the following materials to support the initial enrollment of eligible employees in the Plan by Client:
 - Plan Summary and Benefits Calculator to explain the Plan to employees.
 - Plan enrollment/salary reduction agreement forms for execution by eligible employees.
- Annual Open Enrollment - ADP will provide Plan enrollment/salary reduction/waiver form to the Client for execution by eligible employees.

c. Reporting Support

- *[ADP Payroll Client Only]* Provide information to assist Client in preparing Form 5500 annual report (if any).

d. Compliance Testing Services and Support

- (i) ADP will provide compliance testing services, subject to (d)(ii) and (iii) below, or compliance testing support in the form of worksheets to assist Client in conducting compliance testing as required under Code Section 125:
 - "Nondiscriminatory Classification Test - Eligibility" that tests for any discrimination in favor of highly compensated individuals as to eligibility to participate in the Plan *[Testing service provided to ADP Payroll Clients subject to the first paragraph above][Worksheets provided to all other Clients]*
 - "Concentration Test" that tests for discrimination in favor of key employees as to benefits funded through the Plan *[Testing service provided to ADP Payroll Clients subject to the first paragraph above][Worksheets provided to all other Clients]*
 - "Nondiscriminatory Classification - Contributions and Benefits Tests" that tests for discrimination in favor of highly compensated participants as to contributions and benefits *[Worksheets provided to all Clients]*

Note: If you are uncertain of your status as an ADP Payroll Client with regard to the POP, please contact the POP Client Service team.

- (ii) ADP will perform the compliance tests as set forth above as outlined in the Client Training and Procedures Document, as amended and supplemented from time to time (hereinafter, "Procedures Document") provided to the Client if the requisite data is supplied to ADP in a complete and timely manner. Client acknowledges that ADP may, in its discretion, elect to perform these compliance tests on the basis of certain assumptions expressly set forth in Procedures Document provided to the Client in the event that the Client fails to provide the requisite data on a complete and timely basis. Client further acknowledges that ADP is entitled to rely on the accuracy of data supplied by the Client.
- (iii) In accordance with Section III(f) of this Agreement, Client acknowledges that it is obligated to determine whether Client is a member of a controlled group under Code Sections 414(b) and 414(c) or a member of an affiliated service group under Code Section 414(m) and to notify ADP of same, that ADP is entitled to rely upon Client's certification in this regard, and that ADP is further entitled to rely upon the payroll and participant coding entered by Client in performing compliance testing (if applicable). If Client is a member of a controlled group or affiliated service group, Client acknowledges that ADP will be able to provide compliance testing services only if all members of the Client's controlled group or affiliated service group are payroll clients of ADP, are on the same ADP payroll service product, processed within the same ADP payroll region, and Client has properly coded its payroll and participant data in accordance with ADP Procedures Document.

e. Plan Amendment Support

Upon notice by Client of intention to amend the Plan, ADP will provide:

- Revised Plan Highlights.
- Forms of Resolution of Amendment for execution.
- Implementation of Client's amendment to add and/or eliminate pre-tax benefit(s).

f. Dedicated Client Services Assistance

- Dedicated Premium Only Plan Service Team with toll-free access.

ADP Premium Only Plan (POP) – Plan Information Form
(check here if Plan is an existing plan that is converting to an ADP POP at this time)

1. **Legal Name of Company Sponsoring Plan:** The KL Group, Inc. DBA Johnstone Supply of Central NY
2. **Business Entity Type:** ☐ C Corporation ☐ Sole Proprietorship ☐ Partnership
☒ S Corporation* ☐ Limited Liability Co. (LC & LLC) ☐ Not-For-Profit
- * Note: IRS Regulations prohibit a sole proprietor, partner, members of an LLC (In most cases), or individuals owning more than 2% (or treated as owning more than 2% under stock attribution rules) of an S corporation from participating in the Premium Only Plan. Other employees, however, may participate.
3. **Federal/Employer Identification Number** (Must be 9 digits): 1 6 1 3 9 1 6 2 4
This is the Sponsor's employer identification number for federal tax filing purposes.
4. **ADP Parent Code:** 0056- H1J **Additional Codes:** _____
5. **Contact Person:** (Primary): Ann Maynard **Title:** HR Business Consultant
(Secondary): _____ **Title:** _____
6. **Street Address:** 95 Halstead St
City, State, Zip: Rochester NY 14610
7. **Phone (Primary):** 585-969-1472 **Fax:** _____ **E-Mail:** ann.maynard@johnstonehvac-ny.com
(Secondary): _____ **Fax:** _____ **E-Mail:** _____
8. **Premium Only Plan Effective Date:** *Enter the first day of the month in which participants will be permitted to make salary reduction elections under the Plan. If this is an amendment and restatement of an existing plan, enter the date of the amendment and restatement and also enter the plan's original effective date.*
a. ☒ A new plan effective as of the first day of (MM/DD/YY) 10.01.2020
b. ☐ An amendment and restatement of an existing Section 125 plan effective as of the first day of (MM/DD/YY) _____
State the original effective date of the plan _____
9. **Plan Year:** The plan year for this POP Plan will end on 12.31.2020 (must be the last day of a calendar month).
The Plan Year is a 12-consecutive month period that determines, among other things, the 12-month period over which testing must be performed and when open enrollment for the POP will occur. It is recommended that the Sponsor select a Plan Year matching the contract year of the Benefits funded by the POP in order to coordinate open enrollment periods.
10. **Plan Number:** 501 (3 digit number) A 3-digit plan number assigned by the plan sponsor that begins with "5"
(for example 501). For a new plan, the Sponsor assign the next available number in sequence based on numbers currently assigned to its welfare plans (sponsors should never reuse a number previously assigned to another plan).
11. **Benefits** – The benefits selected below shall be funded through the POP:
☒ Health Insurance ☒ Dental Insurance ☐ Group Term Life Insurance *
☐ Disability Insurance** ☐ Vision Care Insurance ☐ Accidental Death/Dismemberment Insurance
- * Premiums for Group Term Life coverage are paid through POP on a pre-tax basis up to \$50,000; the cost of coverage in excess of \$50,000 will be included in participants' taxable income as imputed income as required by law. Dependent group term life insurance premiums cannot be funded through POP if also eligible for exclusion as a de minimis fringe benefit; in this case, dependent group term life may only be offered outside POP on an after-tax basis.
- ** If disability insurance is paid for on a pre-tax basis, any benefits received are taxable to the employee. Under most circumstances, it is recommended that disability insurance not be included in the POP.
- Note: Insurance products with return-of-premium or benefit-building features cannot be paid for on a pre-tax basis.*
12. **Plan Name:** Johnstone Supply POP
(e.g., Acme Company Premium Only Plan) (70 characters maximum)
13. **Name of Plan Administrator** (please print): Ann Maynard
The POP document provides that the Sponsor is the Plan Administrator unless the Sponsor designates another person or entity as Plan Administrator.

14. **Controlled Group** (Check appropriate box and place initials next to each client certification that is checked. General information intended to assist the Client in determining whether its business may be part of a controlled group or affiliated service group is available upon request):

ALL CLIENTS: After examining the ownership and/or service relationships applicable to our business, I certify that our business (check one):

☐ IS NOT in a controlled group with any other business **AND** IS NOT in an affiliated service group with any other business, as described in IRS regulations. **Please Initial Here** _____

☐ IS in a controlled group with one or more other business(es) **AND/OR** IS in an affiliated service group with one or more other business(es) as described in IRS regulations. **Please Initial Here** _____

☐ If I have concluded that our business IS in a controlled group or affiliated service group, all members of that controlled group or affiliated service group, as applicable, are ADP Payroll clients on the same ADP Payroll product, and within the same ADP Payroll region. **Please Initial Here** _____

☐ If I have concluded that our business IS in a controlled group or affiliated service group, all members of that controlled group or affiliated service group, as applicable, are not on the same ADP payroll product, are not within the same ADP payroll region or are not ADP Payroll clients. I acknowledge that I will not be able to rely upon the compliance testing performed by ADP Premium Only Plan in this situation.

Please Initial Here _____

I further acknowledge that (I) any general information ADP may provide regarding controlled groups and affiliated service groups is not a comprehensive description of the controlled group or affiliated service group rules (which are complex), (II) any such information described in clause (I) is not offered or intended by ADP as tax or legal advice and (III) ADP has no responsibility or obligation to determine if our business is or is not part of a controlled group or affiliated service group. If the plan is inadvertently offered to an entity that is not a member of a controlled group or affiliated service group, our company will take timely action to remove such non-member from the plan. I further acknowledge that it is our company's responsibility to periodically review the controlled group/affiliated service group status of our business and to take appropriate and timely action with regard to the nondiscrimination tests applicable to our Premium Only Plan so as to ensure the Plan's continued compliance with applicable provisions of the Code.

Please Initial Here _____

The following are the members of my controlled group or affiliated service group (if additional space is needed, this page may be photocopied and attached):

Provide legal names of affiliated entities	ADP Code(s)	Same ADP Payroll Region (Y/N)?	Same ADP Payroll Product? (Y/N)	Participating in the Premium Only Plan (Y/N)?

15. **ADP Premium Only Plan (POP) – Additional Information**

- a. **Eligibility Requirements** (Enter the number of "Months of Service", "Other" or "Hours per week" below to specify any minimum service and/or employment requirements that must be met before an employee may participate in the Premium Only Plan, subject to the following limitations: (1) the Client may not impose a waiting period of longer than one year (12 months) except that a shorter waiting period must be applied if the POP includes group health plan coverage. Under the Affordable Care Act, group health plans generally may not impose a waiting period of longer than 90 days for plan years beginning on or after January 1, 2014. Since eligibility periods for all coverages underlying the POP must be the same, you will need to limit the waiting period under any POP that includes a group health plan coverage to a maximum period permitted under applicable IRS waiting period guidance (Treas. Reg. § 54.9815-2708); and (2) the Client may not impose different employment requirements for different employee groups (e.g. the Client may not provide for immediate eligibility for one group of employees and require another group to work 6 months before becoming eligible for the Plan). Note: Failure to adhere to these restrictions may leave Client unable to rely on the Nondiscriminatory Classification – Eligibility Test. Use "Other" to specify a non-waiting period eligibility requirement (e.g., an employee classification requirement). However, use "Hours per Week" to exclude part-time employees as a class. Note: Exclusion of part-time employees may affect the Sponsor's ability to pass the Nondiscriminatory Classification – Eligibility Test. Please refer to ADP Premium Only Plan Client Training and Procedure Document for further information.

☐ Months of Service: _____
If the Plan will require employees to work a number of months (measured from date of hire) before becoming eligible to make salary reduction contributions under the Plan, specify the number of months (not to exceed 12 months except POP plans that include group health plan coverage, effective for plan years beginning on or after January 1, 2014, the maximum waiting period may not exceed 90 days)

☐ Other: _____
If the Plan will impose a different employment requirement (for example, 31 days of employment) or no employment requirement at all (i.e., immediate Eligibility upon hire), indicate this here (not to exceed 12 months except POP plans that include group health plan coverage, effective for plan years beginning on or after January 1, 2014, the maximum waiting period may not exceed 90 days)

☐ Hours per week: _____
If the Plan will exclude employees scheduled to work less than a certain number of hours per week (e.g. Part-time employees), indicate this here.

b. **Participation Date:** (Select the date that employees who meet the above eligibility requirements shall become Participants in the Plan): Note: The participation date should always coincide with the date as of which a participant's underlying benefit coverage will begin to be funded on a pre-tax basis by the Premium Only Plan.

☐ Immediately upon satisfying the Plan's eligibility requirements (recommended if coverage includes a group health plan with a 90 day waiting period)

☐ The first day of the month after the Plan's eligibility requirements have been satisfied.

☐ Other (specify – must be prospective) _____

c. **Agent for Service of Legal Process (may be the same as Plan Sponsor):**

Name: _____ Phone Number: _____

Address: _____
Street City State Zip

16. **Acknowledgement.** Client hereby certifies that the information provided above is true and correct. I understand that I or another representative of my business will need to contact ADP Retirement Services if any of the information contained herein changes at a future date. Client acknowledges that it will not be able to rely on any nondiscrimination compliance testing provided by ADP if the Plan or participant information is not up to date as of the test date. Client acknowledges ADP is not a law or accounting firm and may not provide legal or tax advice. Questions on legal and tax issues including, but not limited to, taxability of benefits should be referred to Client's legal counsel and/or tax advisor.

Client Signature: Ann Maynard Date: 10/5/2020

Print Name: Ann Maynard

Title: HR Business Consultant